allocation of resources and mobilise them for an equitable growth and development. Though India was constitutionally declared a federation of states, in the process of planning, the authority of regulation, directing and undertaking economic activities got more and more centralised in the Union government.[15]

India's decision for a planned economy was also moulded by some contemporary experiences in the world.[16] *Firstly,* the Great Depression of 1929 and the reconstruction challenges after the Second World War had made experts to conclude in favour of a state intervention in the economy (opposite to the contemporary idea of 'non-interference' as proposed by Adam Smith). *Secondly,* it was the same time that the command economies (i.e. state economies) of the Soviet Union and the East European countries started making news about their faster economic growth. In the 1950s and 1960s, the dominant view among the policy makers around the world was in favour of an active role of the state in the economy. *Thirdly,* a dominant role for the state in the economy to neutralise market failures situation (as happened during the period of the Great Depression when demand fell down to the lowest levels) was gaining ground around the world. For many newly independent developing nations, economic planning was therefore an obvious choice. Economic planning was considered to help states to mobilise resources to realise the prioritised objectives in a well-defined time frame.

Once the political leadership had decided in favour of a planned economy for India and a major role for the state in the economy, they needed to clarify about the organisational nature of the economy—whether it was to be a state economy or a mixed economy—because planning was not possible in a free market economy (i.e. capitalistic economy). The idea of planning in India was inspired from the Soviet planning which was a command economy and did not suit the requirements of democratic India which was till now a privately owned economy.[17] The dominant force behind planning in India, at least after independence, was Nehru himself who had strong socialist leanings. He thought it very urgent to define the role of state in the economy which was going to be at times similar to the State in the Soviet Union and at times completely dissimilar to it. Though there was an example of a capitalistic-democratic system going for planning